

Psychological Reframes to Realign Your Spending

Recently, I was speaking to a couple on my podcast. Before we started recording, I asked how they were feeling. The wife said, “Nervous, because I’m afraid you’re going to tell me I have to spend less!”

This is the usual view we have of “doing better with our money.” We instinctively believe we’re going to have to cut back, restrict, and stop enjoying the things we love. But I wasn’t going to tell her to stop spending on those things. What would it accomplish, anyway? Her money is hers, and someone telling her to stop spending on something she loves would fail.

There are much more effective strategies for helping you change your spending patterns:

1. Think of “realigning” your spending, not merely cutting back. There’s a psychological phenomenon called “reactance,” which refers to the negative response to rules that threaten our freedom. If you interpret changing your spending as curtailing your freedom to spend on anything you want, you will forever be fighting an invisible, internal battle against change. Reframe: “If I really want to spend money on this, I can. I’m just going to be conscious and intentional about my spending and decide ahead of time.” Think of it as an opportunity, not a restriction, and you will be much more likely to follow through.

2. Spend more on the things you love. This means spending less on the things you merely *like*. My wife and I, for instance, decided that we wanted to eat more memorable meals. To do that, we’re willing to forgo meals that are just “okay.” In practice, this means we’ll eat at a truly exceptional restaurant every few months, but we’ll skip the average weekly restaurant.

Changing the way you spend your money shouldn’t feel like you’re fighting a battle. When you clarify your Rich Life and you use these psychological reframes, it will finally feel like your money has a purpose.